FEATURED RESEARCH CASE STUDY / SEPTEMBER 2026

# AMD Q2 2026: a documented forecast miss

A recruiter-facing audit of the evidence available before earnings, the company-reported result, the frozen stock-price call, and what the process should change next.

| FINANCIAL MODEL | COMPANY RESULT | PRICE CALL | OBSERVED MOVE |
|---|---|---|---|
| **Revenue $10.42B GAAP EPS $0.94** | **Revenue $11.536B GAAP EPS $1.38** | **+17.0% to $589.50** | **-4.3% to $482.05** |

## The judgment

The financial direction was right, but the stock-reaction direction was wrong. The model underestimated revenue by 9.7% relative to the model estimate and underestimated GAAP EPS by $0.44. Even so, AMD closed 4.3% below the frozen pre-release reference on the defined target session. The +17% price call therefore missed both direction and magnitude, with a target error of 22.3% versus the observed close.

This is exactly why a strong earnings print cannot be translated mechanically into an up call. The pre-release record lacked usable price-history inputs and options-implied evidence, and its direction was carried primarily by SEC fundamental trend plus positive analyst revisions.

## From revenue to GAAP EPS

| Step | Q2 2026 reported | Read-through |
|---|---|---|
| Revenue | $11.536B | 50% year-over-year growth; Data Center was $6.7B, up 107%. |
| Gross profit | $6.203B / 54% margin | GAAP margin; do not mix with AMD's 56% non-GAAP margin. |
| Operating expenses | $4.213B | R&D; $2.528B; MG&A; $1.401B; acquired-intangible amortization $0.284B. |
| Operating income | $1.990B | $6.203B gross profit less $4.213B operating expenses. |
| Below the line | -$37M interest + $598M other income | Other income included a $483M gain on long-term investments; this is not recurring operating profit. |
| Net income | $2.297B | After $252M tax provision, $6M equity income and an $8M discontinued-operations loss. |
| Diluted EPS | $1.38 on 1.659B shares | GAAP. AMD separately reported $1.66 non-GAAP EPS after stated adjustments. |

Accounting rule: model, company-reported and consensus EPS are compared only when their GAAP/non-GAAP bases match. The Nasdaq $1.35 consensus snapshot is retained as provider-basis and is not scored as a GAAP beat without verified comparability.

# How the frozen price call was produced

| 1 / CUT-OFF | 2 / DIRECTION | 3 / MAGNITUDE |
|---|---|---|
| Information frozen Aug 4, 2026 at 12:38 ET. Reference price $503.845 at 12:37 ET. | Positive SEC revenue/EPS trend and 3 upward EPS revisions versus 0 downward. Price-vs-SPY, news and options evidence were unavailable or inactive. | Four prior earnings reactions had a 13.2% median absolute move and 19.9% 75th percentile. Signal strength mapped to +17.0%. |

### Target formula

$503.845 x (1 + 17.0%) = $589.50. Target session: Aug 5, 2026 normal-session close. Actual close: $482.05. The failed call remains in the scorecard; today's price is never used to rewrite the old result.

### Historical amplitude sample

| Prior reported session | Recorded reaction |
|---|---|
| May 5, 2026 | +23.4% |
| Feb 3, 2026 | -18.7% |
| Nov 4, 2025 | -3.7% |
| Aug 5, 2025 | -7.7% |

# Post-mortem and process change

| What worked | What failed | Required change |
|---|---|---|
| Primary-source financial data; frozen cutoff; GAAP actuals; company-specific event history. | The direction layer treated positive fundamentals and revisions as sufficient despite missing market-positioning and options evidence. | Withhold a price-direction call when market, valuation and options inputs are absent; keep a financial preview only. Add relative-to-SPY and no-change benchmarks. |

# Scope and disclosure

Signal Ledger owns the research questions, definitions, model rules, evidence review, interface decisions and forecast post-mortems. AI assisted with implementation, document extraction, translation and first-pass news triage. This case study demonstrates a research process; it does not claim a proven alpha record or constitute investment advice.

### Sources

1. AMD, 'AMD Reports Second Quarter 2026 Financial Results,' Aug. 4, 2026: https://ir.amd.com/news-events/press-releases/detail/1295/amd-reports-second-quarter-2026-financial-results
2. Nasdaq quote, earnings-surprise and historical-price endpoints recorded in the frozen Signal Ledger evidence package. Forecast cutoff Aug. 4, 2026; settlement Aug. 5, 2026.
3. Signal Ledger methodology: financial estimates and stock-reaction records are stored separately; unresolved or missing-target records are excluded with a stated reason; failed settled calls remain included.